Interactive Ad Budget & Break-Even Calculator

Mathematical Operating Protocol: Unit Economics, Break-Even CPA & Target ROAS Formulas

1. NET MARGIN PER UNIT (BEFORE ADS)

Formula: Net Margin = Selling Price - COGS - Shipping - (Selling Price * 2.36% Gateway Fee)

Strategic Context: This is the absolute ceiling of money available to spend on marketing per customer before losing money.

2. BREAK-EVEN ROAS

Formula: Break-Even ROAS = 1 / (Net Margin / Selling Price) = Selling Price / Net Margin

Strategic Context: Example: For Rs. 1,999 selling price and Rs. 1,380 net margin, Break-Even ROAS is 1.45x. Anything above 1.45x is pure net

3. TARGET CPA (DESIRED 25% PROFIT MARGIN)

Formula: Target Max CPA = Net Margin * (1 - Desired Net Profit Margin %)

Strategic Context: If you want 25% net profit in your bank account, your ad team must acquire buyers at or below this target CPA.

4. TARGET ROAS

Formula: Target ROAS = Selling Price / Target Max CPA

Strategic Context: Set this number inside Meta Ads Advantage+ bid caps or ROAS goals to automate bidding protection.

5. LANDING PAGE VIEW DROP-OFF BENCHMARK

Formula: LP Drop-off Rate = (Link Clicks - Landing Page Views) / Link Clicks

Strategic Context: Acceptable benchmark: Under 25%. If drop-off exceeds 30%, your mobile site speed is destroying your ad return.

Note: This package includes both this mathematical protocol document and the full interactive Excel .xlsx spreadsheet.